

HUM44-3

Life Skills & Personal Finance

Personal budgeting, investing, and first-job legal literacy

Personal finance and employment-law tools built on the student's own numbers.

Albert School — 12 hours

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1 Foundations

This course applies the analytical approach of the Finance arc to the student's own finances. It assumes Financial Accounting & Statements (BUS13-3): the reader is comfortable reading a set of numbers, computing simple ratios, and reasoning about cash flows rather than narrative. Here the numbers are personal.

The course runs as three four-hour sessions — Foundations, Investing, Rights — each closing on a concrete deliverable: a budget spreadsheet, a written ETF portfolio, and a corrected employment contract.

1.1 The personal budget

A personal budget is a statement of money in and money out over a fixed period, usually a month, built from real figures rather than estimates.

Definition 1 A **personal budget** records, over a chosen period:

- **revenues**: all money received (salary, grants, transfers);
- **expenses**: all money spent, grouped into categories (housing, food, transport, leisure, subscriptions, ...);
- a **savings target**: the amount set aside, equal to revenues minus expenses.

The budget is built on a spreadsheet from real revenues and actual expenses — not rounded guesses. Expenses are best reconstructed from bank and card statements over a recent period so that the categories reflect what was actually spent.

The savings target is **defensible** when it is justified by the figures: it is what remains after necessary expenses, not an arbitrary round number, and it is sustainable month to month.

$$\text{Savings} = \text{Revenues} - \text{Expenses}$$

Session 1 deliverable. A budget spreadsheet built from your own real revenues, actual expenses by category, and a defensible monthly savings target.

1.2 Compound interest

Money saved and invested earns a return, and that return itself earns a return. Over a long horizon this compounding dominates the outcome.

Definition 2 With an initial amount invested each period and an annual return r , the value after n years of a one-off amount P is

$$V = P(1 + r)^n.$$

For a fixed amount C invested at the end of each year for n years,

$$V = C \cdot \frac{(1 + r)^n - 1}{r}.$$

Simulated over a 40-year horizon, compounding makes the **cost of a delayed start** quantitative: two savers contributing the same amount but beginning years apart end with materially different sums, because the early contributions compound for longer. The course builds this simulation on the spreadsheet rather than asserting it rhetorically.

1.3 Asset classes

Savings can be held in different asset classes, each with its own risk-return profile and the time horizon over which it is appropriate.

Definition 3 The main **asset classes**:

- **cash**: lowest risk, lowest expected return; appropriate for short horizons and money that must stay available;
- **equities** (stocks): higher expected return, higher volatility; appropriate for long horizons;
- **bonds**: lend to a government or company for interest; intermediate risk-return; sensitive to interest rates;
- **real estate**: property held directly or through listed vehicles; intermediate-to-long horizon, low liquidity when held directly.

The general rule is that higher expected return comes with higher risk, and that riskier assets require a longer time horizon to be appropriate.

1.4 Tax envelopes

A **tax envelope** is an account that holds investments under a favourable tax regime, subject to conditions (eligible assets, holding period, ceilings).

Definition 4 Tax envelopes differ by country of residence:

- **France**: the PEA (equity savings plan, favourable after a holding period) and the assurance-vie (life-insurance wrapper);
- **Italy, Spain, Switzerland**: their respective national equivalents.

The choice between envelopes is justified on two grounds: the **time horizon** (some regimes only become favourable after a minimum holding period) and the **tax treatment** of the assets held inside. The envelope is selected for the investor's country of residence.

2 Investing

2.1 The first portfolio

The second deliverable is a first portfolio constructed for a real amount, between €500 and €5,000, under the fee and platform constraints that actually apply.

Definition 5 A **first portfolio** under real constraints is specified by:

- the **amount** available (€500–€5,000);
- the **platform** and its **fees**;
- the choice between **ETF and active** funds;
- **global diversification** across asset classes and regions;
- a **contribution and rebalancing** rule.

ETF vs active. An ETF (exchange-traded fund) passively tracks an index at low cost. The evidence cited in the course favours low-cost ETFs over active funds for most individual investors, chiefly because fees compound against the investor over time.

Global diversification. A diversified core combines:

- a **global equity ETF** (e.g. MSCI World), spreading equity across developed markets;
- **bonds**, for stability;
- **listed REITs** (real-estate investment trusts), for property exposure.

Dollar-cost averaging (DCA). Investing a fixed amount at regular intervals, regardless of price, rather than a lump sum timed to the market.

Annual rebalancing. Once a year, selling and buying to return the portfolio to its target weights, which drift as asset classes move.

Session 2 deliverable. A written first ETF portfolio adapted to your risk profile, time horizon, and available amount, applying dollar-cost averaging and annual rebalancing.

2.2 Investor psychology

Investors systematically depart from the rules they set for themselves. Three biases are named, each with a rule designed to neutralise it.

Definition 6

- **Loss aversion:** losses feel worse than equivalent gains feel good, leading to selling at the wrong time;
- **FOMO** (fear of missing out): chasing assets that have already risen;
- **overconfidence:** overestimating one's ability to pick winners or time the market.

The practical defence is a set of pre-committed rules — fixed contributions (DCA), a fixed schedule for rebalancing, and a written plan — designed so that decisions are made in advance rather than under the influence of these biases.

3 Rights

3.1 Decoding a payslip

The third session covers first-job legal literacy. It begins with the payslip, read line by line.

Definition 7 A **payslip** decomposes pay as:

- **gross pay:** total compensation before contributions;
- **employer contributions:** social charges paid by the employer on top of gross;
- **employee contributions:** social charges deducted from gross;

- **taxable income:** the base on which income tax is computed;
- **net pay:** what reaches the employee's account.

Reading the payslip connects to **total-compensation** reasoning: the true cost of employment to the employer is gross plus employer contributions, which exceeds the net the employee receives. The gap between the two is the wedge of social contributions and tax.

3.2 The employment contract

An employment contract is read for five decisive clauses, each of which carries implications for the person signing it.

Definition 8 The **five key clauses** of an offer:

1. **non-compete:** restricts working for competitors after leaving;
2. **confidentiality:** forbids disclosing the employer's information;
3. **IP assignment:** assigns intellectual property created at work to the employer;
4. **mobility:** allows the employer to change the place of work;
5. **notice period:** the time required to give before leaving (or be given before dismissal).

For each clause the signatory must understand its implication: what it restricts, for how long, and at what cost.

Applied IP. By default, intellectual property created in the course of employment belongs to the employer. The course covers these default ownership rules and how they can be renegotiated.

Session 3 deliverable. A corrected employment contract: the five clauses identified, their implications stated, and the points to renegotiate marked.

3.3 Social protection and tax declaration

Changing employer changes social protection. The reader must map what is preserved and what is lost.

Definition 9 **Social protection** to track across an employer change:

- **health** cover;
- **disability** cover;
- **supplementary pension.**

Some entitlements are preserved across the change and some are lost; the decisions that must be made are flagged at the moment of signing.

Finally, **tax declaration basics:** the obligation to declare income and the connection between the payslip's taxable-income line and the annual declaration.

Course outcomes. Build a budget from zero; simulate compound interest over 40 years and select the right tax envelope; construct and justify a first ETF portfolio; decode a payslip line by line; identify the five contract clauses; and map social protection across an employer change.